



THE CHARTERED INSURANCE INSTITUTE
ADVANCED DIPLOMA
OCTOBER 2009 EXAMINATION PAPER

UNIT 556
LIFE AND DISABILITY CLAIMS

INSTRUCTIONS

- Three hours are allowed for this paper.
- Fill in the information requested on the answer booklet and on form B.
- You are allowed to write on the inside pages of this question paper but you must **NOT** write your name, candidate number, PIN or any other identification anywhere on this question paper.
- The answer booklet and this question paper must be handed in personally by you to the invigilator before you leave the examination. Failure to do this may result in your paper not being marked and you may be prevented from entering this examination in future.

READ THE INSTRUCTIONS OVERLEAF CAREFULLY BEFORE ANSWERING ANY QUESTIONS.

THE CHARTERED INSURANCE INSTITUTE

556 – Life and disability claims

CANDIDATE INSTRUCTIONS

READ THE INSTRUCTIONS BELOW BEFORE ANSWERING ANY QUESTIONS.

Three hours are allowed for this paper. You should answer all questions in Part I, the compulsory question in Part II and three out of the five questions in Part III.

The paper carries a total of 200 marks, as follows:

Part I	8 compulsory questions	48 marks
Part II	1 compulsory question	50 marks
Part III	3 questions selected from 5	102 marks

You are advised to spend no more than 45 minutes on Part I.

Answer each question on a new page. If a question has more than one part, leave several lines blank after each part.

It is important to show each step in any calculation, even if you have used a calculator.

You may find it helpful in some places to make rough notes in the answer booklet. If you do this, you should cross through these notes before you hand in the booklet.

PART I

**Answer ALL questions in Part I.
Each question is worth six marks.**

Note form is acceptable where this conveys all the necessary information.

1. Describe briefly the three main types of long-term care insurance products that are available. (6)
2. State six generic policy exclusions that might apply to an individual income protection contract. (6)
3. Outline briefly joint tenancy and its implications for life assurance policies. (6)
4. (a) State the requirements for the Association of British Insurers' current critical illness definition of burns. (4)
(b) Outline how this differs from the previous definitions. (2)
5. Identify the issues that you need to consider when assessing a critical illness claim for meningioma under the current and previous Association of British Insurers' critical illness definitions for benign brain tumour. (6)

6. Explain briefly what an IBNR ^{reserve} reserve is and why an insurer needs to hold one. (6)

7. Give a brief description of the following medical conditions:

- (a) carcinoma; (2)
- (b) lymphoma; (2)
- (c) sarcoma. (2)

8. (a) State the purpose of a balance sheet. (2)

(b) Outline briefly the information that a balance sheet contains. (4)

FOR USE WITH QUESTION 9 ONLY

South Northants Hospitals
NHS Trust

Date: 12th July 2009

Dr A Brown
The Surgery
25 The Broadway
Saltburn
Northants

Dear Dr Brown

Mr Andrew Jones – DoB 5/8/52
15 Spitfire Drive, Saltburn, Northants, NN1 2EB

I reviewed this gentleman in the prostate cancer clinic today.

You will recall his original presentation to you in April 2009, with haemospermia and subsequent findings of an elevated serum PSA (16.7 ug/L). At the time you treated him for a presumed urinary tract infection in view of his symptoms.

He has now had his prostate biopsies and these have unfortunately shown a small prostate cancer of intermediate grade (Gleason 3 + 3 = 6) in 2 cores from the right lobe. The total volume of cancer is 8% of all the material submitted and there was no perineural invasion.

I discussed treatment with Mr Jones, specifically radical surgery, radical radiotherapy and brachytherapy. He will need an MRI of his pelvis.

I have also arranged for him to see Sister Edwards, the Prostate Cancer Nurse Specialist, for further information and care.

Yours sincerely

Mr G Smith
Consultant Urologist

Sister Edwards
12.12.09
12.12.09
12.12.09
12.12.09

999-1999

PART II

Compulsory question.
This question is worth 50 marks.

9. Mr Jones holds two critical illness insurance policies with your company. One is a mortgage protection insurance policy, issued in March 2001 for £150,000 and the other is a family protection insurance policy issued in December 2003 for £155,000. Both policies incorporate the standard Association of British Insurers' critical illness definitions applicable at their commencement.

Mr Jones has contacted your office in August 2009 to make a claim for prostate cancer. As part of the claims evidence you have obtained a letter from his Urologist, Mr Smith, as shown on page 6.

- (a) Explain the cancer definition under each policy. (16)
- (b) Explain what additional information you would consider obtaining to validate the claim, and why this may be necessary. (14)
- (c) Outline what other considerations would be required in respect of the claim, if both policies had been issued in March 2009. (10)
- (d)
 - (i) Explain the difference between stage and grade with reference to cancer. (4)
 - (ii) Outline how the Gleason score is established and what it means. (6)

14. Mr Davy has just been involved in a road traffic accident in which he suffered a head injury resulting in bleeding within the brain. He holds two stand-alone critical illness insurance policies with your company. The first commenced in 2000, and the other commenced in 2008.

Explain the possible lump-sum benefits Mr Davy might be able to claim, assuming the standard Association of British Insurers' conditions apply. For each, explain the requirements that are needed for a valid claim.

(34)